

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) — Semester II Examination, 2015-16

Paper No. BCH-122: Financial Accounting-II

Time: 3 Hours

Maximum Marks: 70

Instructions: Answer all questions. All questions carry equal marks (14 marks each).

Question 1.

- (a) Define Bill of Exchange. Explain the various types of Bill of Exchange. [5]
- (b) On 1st July, 2015, Mahesh sold goods to Naresh for ₹25,000 (read as Rupees). Naresh paid ₹5,000 in cash and accepted a Bill of Exchange for the balance of ₹20,000 for a period of three months. Mahesh discounted the bill with his banker at 10% p.a. On the due date, Naresh failed to pay the bill and the bank paid ₹100 for noting charges. Subsequently, Naresh offered to pay ₹10,000 against the dishonoured bill and also the noting charges in cash, and to accept a new bill for the balance amount of ₹10,000 for a period of two months. Mahesh agreed to the request. The new bill was discharged by Naresh on the due date. Journalise the above transactions in the books of both the parties. [9]

OR

What is a Bank Reconciliation Statement? Explain its utility and the reasons for discrepancies between the cash book and pass book balances. [14]

Question 2. X Ltd. was registered with an authorized capital of £20,00,000 divided into 20,000 shares of £100 each. 10,000 shares were offered to the public at a premium of £20 per share, payable as follows:

- On Application: £20
- On Allotment: £45 (including premium)
- On First Call: £25
- On Second and Final Call: Balance amount

Applications were received for 14,000 shares. Pro-rata allotment was made to the applicants of 12,000 shares, and the remaining applications were rejected and their application money was returned. Prakash, holding 200 shares, paid the entire call money along with allotment. Pradeep, holding 300 shares, failed to pay the allotment and first call money, and his shares were subsequently forfeited. These shares were reissued as fully paid-up at £90 per share. Pass the necessary journal entries in the books of the company. [14/]

OR

- (a) Explain the legal provisions regarding the redemption of preference shares. [5/]
- (b) Y Ltd. has issued 4,00,000; 14% redeemable preference shares of £100 each. Redemption was to take place on 1 April, 2016. A general reserve of £2,50,00,000 has already been built up out of past profits. For the purpose of redemption, 75,000 new 15% preference shares of £200 each at a premium of £100 each, were offered to the public in full. The new issue was subscribed and paid for. Thereafter, the 14% redeemable preference shares were redeemed. Pass the journal entries. [9/]

Question 3. Distinguish between a share and a debenture. Describe the various methods of redemption of debentures. [14/]

OR

On 1st January, 2016, Genuine Products Ltd. issued 1,000; 8% debentures of £100 each, which are redeemable after four years at par. For the purpose of redemption, a non-cumulative 8% debentures sinking fund is to be created. The sinking fund investments were sold for £78,000 on December 31, 2019. On this date, the bank balance stood at £42,000 (before the sale of investments). The interest received on sinking fund investments for the years 2017, 2018, and 2019 were £2,000, £4,000, and £6,000. Prepare the Sinking Fund A/c, Sinking Fund Investment A/c, Bank A/c, and Interest on Sinking Fund Investment A/c. [14/]

Question 4. XYZ Ltd. was formed to take over a running business from 1st April, 2015. The company was incorporated on 1st August, 2015. At the end of the year on 31st March, 2016, the company prepared the following Profit and Loss Account:

Particulars	Amount (£)	Particulars	Amount (£)
To Rent	30,000	By Gross Profit b/d	3,36,000
To Insurance	10,000		
To Electricity	4,800		
To Salaries	72,000		
To Director Fees	9,200		
To Commission	12,000		
To Advertisement	8,000		
To Office Expenses	15,000		
To Depreciation	6,000		
To Preliminary Expenses	15,000		
To Bad Debts	4,000		
To Interest on Loan	6,000		
To Net Profit	1,44,000		
Total	3,36,000	Total	3,36,000

Additional Information:

- Sales up to the incorporation of the business amounted to £4,80,000 whereas they started to record an increase of two-fifths during the rest of the year.
- Rent included the rent of the building paid @ £2,000 per month up to September, 2015.
- Depreciation included £1,200 for the assets acquired in the post-incorporation period.
- The purchase consideration was discharged by the company on 30th September, 2015 by issuing equity shares of £10 each.

Prepare the Profit and Loss Account showing the allocation of profit between the pre-incorporation and post-incorporation periods, indicating the basis of allocation. [14]

OR

Draft the Balance Sheet of a company in both Horizontal and Vertical forms as per the Companies Act with imaginary figures. [14]

Question 5. Following is the Trial Balance of Mysore Ltd. as on 31st March, 2016:

Debit Balances	Amount (£)	Credit Balances	Amount (£)
Land & Building	34,000	Share Capital	80,000
Plant & Machinery	66,000	Reserve Fund	12,000
Fees to Credit Rating Agency	2,000	Pension Fund	6,000
Calls in Arrear	600	Profit & Loss A/c	3,540
5% Govt. Bonds	3,600	Return Outward	2,000
Motor Vehicles	4,000	Sales	1,23,000
Interim Dividend	1,800	Suppliers of Materials	10,000
Goodwill	54,600	Debentures	30,000
Repairs	300	Income Tax Outstanding	5,000
Bank Interest	840	Foreign Exchange Fluctuation Fund	45,000
Purchases	96,000		
Audit Fees	400		
Advertisement	1,000		
Carriage Inward	1,500		
Wages	9,200		
Insurance	2,000		
Opening Inventory	19,000		
Tools	4,000		
Loss on Foreign Exchange	1,700		
Furniture	2,900		
Trade Debtors	8,300		
Return Inward	2,800		
Total	3,16,540	Total	3,16,540

Adjustments:

- Closing inventory was valued at £20,000.
- Company spent £5,600 for protection of ecology and factory environment, which has not yet been accounted for.
- Manager's commission to be paid @ 2% of Gross Profit before charging such commission.
- Outstanding liabilities: Wages £300.
- Write off £2,000 from Goodwill.
- Printing expenses for the previous year of £300 were not provided in that year, now paid in the current year.

Prepare a Trading and Profit and Loss Account for the year ended 31st March, 2016 and also a Balance Sheet as on that date. [14]

OR

- Explain the provisions of the Companies Act regarding the preparation and presentation of the Profit and Loss Account. [9]
- Give the proforma of the Profit and Loss A/c of a company as per the provisions of the

Companies Act.

[5]